commercially valuable unlisted companies. There are over eighty real sector PSUs like IOC, GAIL and NTPC and financial entities like PSBs and insurance companies with market capitalization of over Rs 20 lakh crore. The stake of the government in these companies is around Rs 14–16 lakh crore. Market capitalization of unlisted entities, including companies like LIC, should also be about Rs 13–15 lakh crore. With a combined potential capital valuation of about Rs 30 lakh crore, or $450 billion, an ISWF/SAMC, if created, would have enormous market heft. These valuations have gone up further in 2021.

The ISWF/SMAC can serve the objective of implementing the structural reform of privatization and raising disinvestment revenues for the government much better than the present arrangement of government-managed minority stake sale and privatization.

First, this will increase the valuation of the CPSEs. The ISWF/SMAC as a holding company of CPSEs can model itself on the lines of assets managed by professionally run sovereign wealth funds (SWFs) like TAMASEC or private equity firms like Blackstone. To become such a vehicle, it would have to be professionally run and its management handed over to real investment professionals. Second, the SMAC/ISWF would be able to significantly increase its assets base as well. Such a powerful and well-capitalized fund would easily be able to borrow large amounts from the market, in excess of Rs 10–15 lakh crore, which can be used to buy equities and assets of long-term interest to the country domestically and abroad. Such a vehicle can also be used to support the market during major crises like the one witnessed in March 2020 on account of COVID-19. Such investments can be expected to generate excellent returns for the ISWF. Third, the ISWF/SMAC would continue to serve the two financial objectives the CPSEs currently serve for the government: payment of dividends and realization of capital proceeds upon disinvestments. The government gets about Rs 50,000 crore as dividends and has averaged